

INSURANCE AND PENSIONS COMMISSION



THIRD QUARTER REPORT
FOR

SELF ADMINISTERED PENSION FUNDS

PERIOD ENDED 30 SEPTEMBER 2015

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2.0 Industry Overview

This report summarizes cumulative performance indicators for 15 standalone funds, 3 fund administrators, and four life insurers. For the year to date, self-administered funds reported contributions amounting to \$477million from \$409 million reported last year although \$290million or 61% were in contribution arrears (September 2014:\$246million or 60%).

In addition expenditure, net of benefits paid, fell from 26% reported previously to 17%. This was mainly due to concerted efforts by players to reduce expenditure as well as improvements in the reporting template to isolate non-cash expenses like depreciation and investment losses from the administration expenditure bill.

The total asset base for the funds was \$2.099billion, a -4% decline from \$2.178 billion reported last year due to negative investment returns particularly in shares(See Table 1, below).

2.2 Financial Summary for Self-Administered Funds for the period January-30 September 2015

Item	Standalone Funds			Insurer Administered Funds			Fund Administrators			TOTALS		
	Sep-14	Sep-15	%	Sep-14	Sep-15	%	Sep-14	Sep-15	-%	Sep-14	Sept 2015	%
Arrear Contributions (\$000)	183,329	213,647	17%	31,403	37,906	21%	31,253	38,248	22%	245,985	289,801	18%
Total Contributions (Incl.Arrears) (\$000)	256,184	323,043	26%	69,309	75,660	9%	83,790	78,560	-6%	409,283	477,263	17%
Total Contributions (Excl. Arrears) (\$000)	72,854	109,396	50%	37,906	37,755	0%	52,537	40,312	-23%	163,297	187,463	15%
Total Income (\$000)	111,207	108,902	-2%	46,771	36,515	-22%	72,363	65,416	-10%	230,341	210,833	-8%
Total Benefits	64,319	53,592	-17%	12,646	14,265	13%	27,437	31,327	14%	104,402	99,184	-5%
Total Expenses (\$000)	13,981	14,022	0%	7,894	10,086	28%	21,093	8,323	-61%	42,968	32,431	25%
Net Income(\$000)	32,907	41,288	25%	39,244	12,164	-69%	23,833	25,766	8%	82,971	79,218	-5%
(Expense/Contributions)%	20%	13%	0%	21%	27%	6%	40%	21%	-19%	26%	17%	-9%
(Expense/Total Income)%	13%	13%	0%	17%	28%	11%	29%	13%	-16%	19%	15%	-4%
Total Assets (\$000)	1,286,141	1,351,210	5%	400,426	311,622	-22%	491,717	436,300	-11%	2,178,284	2,099,132	-4%
Prescribed Assets (\$000)	23,274	47,175	103%	14,005	14,123	1%	20,839	19,907	-5%	58,118	81,205	40%
Prescribed Asset Ratio (%)	2%	3%	%	4%	5%	1%	4%	5%	-1%	3%	4%	1%

SECTION A



STAND ALONE FUNDS

3.0 Standalone Self-Administered Pension Funds

This report is on 15 standalone funds (See Table 1, below).

Table 1: Standalone Self-Administered Pension Funds

Fund Name	September 2015
Catering IPF	1
Clothing IPF	1
CAIPF	1
CIPF	1
LAPF	1
MIPF	1
NRZ	1
ZB FHGPF	1
ZMDC	1
Zimbabwe Electricity Industries P/F	1
ZESA P/F	1
Grain Marketing Board(GMB)	1
Zimpapers	*
Motor Ind	1
Unified Councils P/F	1
Shingirai Business Machines(SBM)	1
TOTALS	15

***Returns not submitted**

4.0 Pension Fund Membership

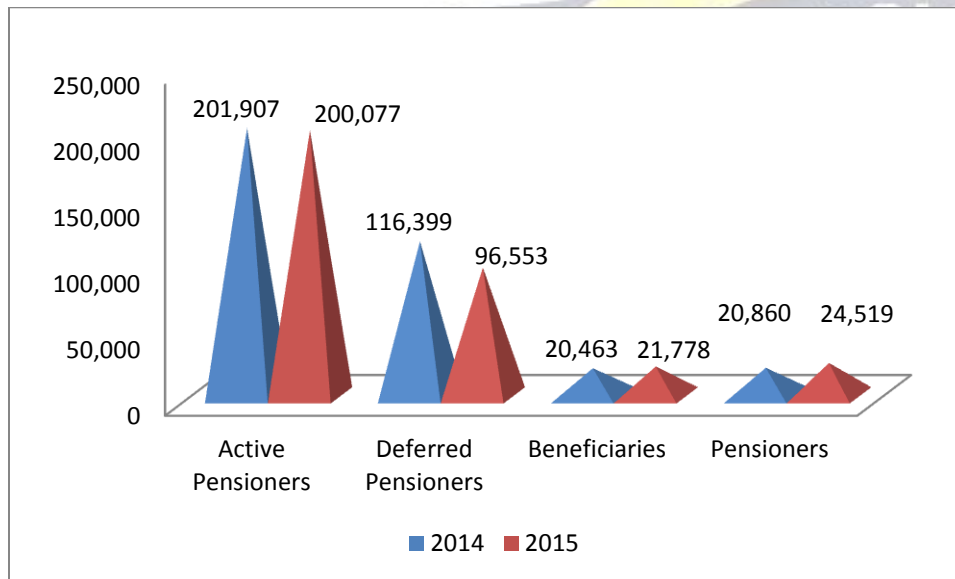
Total fund membership was composed of 200,000 actives or 58% (Sept 2014: 202 000 or 56%), deferred pensioners were 97,000 or 28% which saw a reduction of 4% from the same period last year (Sept 2014: 116000 or 32%), Pensioners were 7% of the total membership totaling 25 000 whereas in 2014 they were 6% or 21000 whilst the balance were beneficiaries (See Table 2 and Figure 1, below).

Table2: Membership per Standalone Fund for the period ended 30 September 2015

Fund Name	Active members			Deferred Pensioners			Former members/Pensioners			Widows & Others			Exits			Total Membership		
	Sept 2014	Sept 2015	Growth	Sept 2014	Sept 2015	Growth	Sept 2014	Sept 2015	Growth	Sept 2014	Sept 2015	Growth	Sept 2014	Sept 2015	Growth	Sept 2014	Sept 2015	Growth
Catering IPF	14,398	14,349	0%	46,004	21,534	-53%	-	-	-	160	159	-1%	-	-	-	60,562	36,042	-40%
Clothing IPF	11,873	13,641	15%	11,003	10,428	-5%	0	0	-	352	0	-100%	0	(443)	-	23,228	25,512	10%
CAIPF	4,318	2,993	-31%	4,107	4,135	1%	1,412	1,605	14%	1,756	2,856	63%	(1992)	(263)	-87%	11,593	11,589	0%
CIPF	58,129	56,137	-3%	5,728	5,907	3%	77	69	-10%	108	112	4%	(730)	(864)	18%	64,042	62,225	-3%
LAPF	19,742	19,105	-3%	0	0	0%	4,071	5,195	28%	6,813	7,482	10%	(82)	(40)	-51%	30,626	31,782	4%
MIPF	28,386	25,772	-9%	43,595	46,096	6%	7,945	8,580	8%	1,265	1,346	6%	(2736)	(1435)	-48%	81,191	81,794	1%
NRZ	6,670	5,895	-12%	1,898	2,025	7%	5,710	4,681	-18%	8,600	6,840	-20%	(78)	(607)	678%	22,878	19,441	-15%
ZB FHGPF	2,770	1,994	-28%	2,540	2,615	3%	439	1,093	149%	526	518	-2%	(186)	(9)	-95%	6,275	6,220	-1%
ZMDC P/F	187	173	-7%	0	0	0%	62	73	18%	79	78	-1%	0	0	-	328	324	-1%
Zim Electricity Industry P/F	6,758	6,749	0%	0	0	0%	288	511	77%	135	222	64%	0	0	-	7,181	7,482	4%
ZESA P/F	*	0	-	*	3,009	-	*	2,556	-	*	2,058	-	0	0	-	*	4,614	-
GMB	1,999	1,936	-3%	694	686	-1%	27	27	0%	0	0	-	(25)	(54)	116%	2,720	2,649	-3%
Zimpapers	986	*	-	829	*	-	492	*	-	496	*	-	(5)	*	-	2,803	*	-
Motor Ind	45,686	46,136	1%	0	0	0%	337	129	-62%	173	27	-84%	0	0	-	46,196	46,292	0%
Unified Councils P/F	*	5,192	-	*	117	-	*	-	-	0	80	-	0	(188)	-	0	5,309	-
SBM	5	5	-	1	1	0%	0	0	-	0	0	0%	0	0	-	6	6	0%
Totals	201,907	200,077	-1%	116,399	96,553	-17%	20,860	24,519	18%	20,463	21,778	6%	(5,834)	(3,903)	-33%	359,629	341,281	-5%

***Returns not submitted**

Figure 1: Membership for Standalone Funds for the period ended 30 September 2015



5.0 Contributions

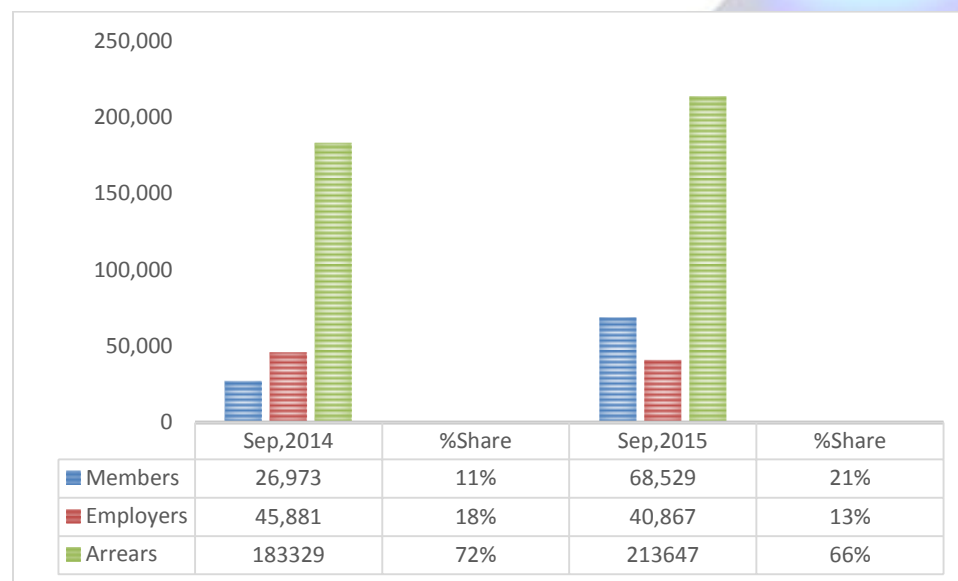
Employers contributed \$41million or 13% whilst members contributed \$69million or 21% of total contributions (September 2014:\$46million or 18%:\$27million or 11%). The challenge of arrear contributions continue to haunt the industry as the liquidity squeeze persists. The balance of \$214million or 66% of total contributions was in arrears (September 2014: \$183million or 72%) (See Table 3 and Figure 2, below).

Table 3: Contributions Statistics per Standalone Fund for the period ended 30 September 2015

Fund Name	Contributions \$(000)			Arrear Contributions \$(000)			Total Contributions \$(000)								
	Members			Employers			Members			Employers			Growth		
	Sep-14	Sep-15	Growth	Sep-14	Sep-15	Growth	Sep-14	Sep-15	Growth	Sep-14	Sep-15	Growth	Sep-14	Sep-15	Growth
Catering IPF	892	1,752	96%	892	876	-2%	0	0	0%	-	41	0%	1,784	2,669	50%
Clothing IPF	550	1,318	140%	770	769	0%	410	418	2%	909	1,903	109%	2,639	4,408	67%
CAIPF	1,115	885	-21%	3,344	619	-81%	2,072	2,316	12%	12,285	21,528	75%	18,816	25,348	35%
CIPF	1,315	2,300	75%	1,315	1,150	-13%	-	0	0%	356	316	-11%	2,986	3,766	26%
LAPF	5,334	22,618	324%	15,991	16,805	5%	-	-	0%	120,244	141,669	18%	141,569	181,092	28%
MIPF	12,046	23,283	93%	12,055	11,597	-4%	125	0	-100%	695	1,118	61%	24,921	35,998	44%
NRZ	2,603	2,469	-5%	0	0	0%	0	0	0%	17,891	532	-97%	20,494	3,001	-85%
ZB FHGPF	1,207	1,050	-13%	1,787	626	-65%	0	0	0%	0	0	0%	2,994	1,676	-44%
ZMDC	42	119	183%	101	84	-17%	0	0	0%	1,039	1,996	92%	1,182	2,199	86%
Zimbabwe Electricity	-	5,594	0%	5,810	3,804	-35%	0	7,223	0%	16,320	15,348	-6%	22,130	31,969	44%
ZESA P/F	*	0	0%	*	0	0%	*	0	0%	*	0	0%	0	0	0%
GMB	301	1,508	401%	1,295	1,226	-5%	432	760	76%	2,653	4,668	76%	4,681	8,162	74%
Zimpapers	319	0	-100%	447	-	-100%	207	-	-100%	4,610	-	-100%	5,583	0	-100%
Motor Ind	1,248	4,089	228%	2,073	2,453	18%	524	1,303	149%	2,557	1,954	-24%	6,402	9,799	53%
Unified Councils P/F	*	1,542	0%	*	857	0%	*	998	0%	*	9,556	0%	0	12,953	0%
SBM	1	2	100%	1	1	0%	0	0	0%	0	0	0%	2	3	50%
Total	26,973	68,529	154%	45,881	40,867	-11%	3,770	13,018	245%	179,559	200,629	12%	256,184	323,043	26%

*Returns not submitted

Figure 2: Contributions Statistics per Standalone Fund for the period ended 30 September 2015(\$000)



6.0 Income and Expenditure

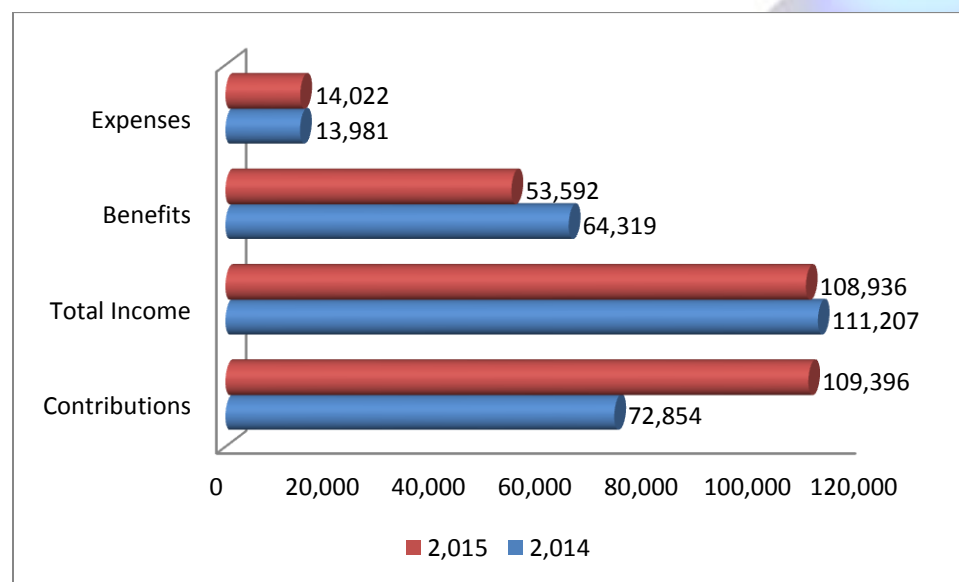
For the review period, Standalone funds received contributions in the sum of \$109million whilst expenses, net of benefits paid, were \$14million (September 2014:\$73 million, expenditure: \$14million. Costs have remained constant in the two periods under comparison.

In order to analyze and monitor expenditure more effectively, the Commission has directed funds to provide an exhaustive itemized breakdown of their respective expenditures with a view to separate direct expenses from provisions such as depreciation and other investment losses which are not borne from the day to day activities of running the fund (See Table 4 and Figure 3 below).

Table 4: Income and Expenditure per Standalone Fund for the period ended 30 September 2015(\$000)

Fund Name	Total Contributions(Excl arrears)\$(000)			Total Income \$(000)			Total Paid Benefits \$(000)			Expenses \$(000)			(Expenses/Contributions)%			(Expenses/Total Income)%		
	Sep-14	Sep-15	Growth	Sep-14	Sep-15	Growth	Sep-14	Sep-15	Growth	Sep-14	Sep-15	Growth	Sep-14	Sep-15	Growth	Sep-14	Sep-15	Growth
Catering IPF	1,784	2,628	47%	2,661	2,539	-5%	536	994	85%	1,001	901	-10%	56%	34%	-22%	38%	35%	-3%
Clothing IPF	1,320	2,087	58%	2,540	2,364	-7%	490	298	-39%	962	685	-29%	73%	33%	-50%	38%	29%	-9%
CAIPF	4,459	1,504	-66%	9,723	9,008	-7%	7,475	8,210	10%	2,178	1,880	-14%	49%	125%	76%	22%	21%	-1%
CIPF	2,630	3,450	31%	3,030	2,222	-27%	786	1,080	37%	1,554	1,450	-7%	59%	42%	4%	51%	65%	14%
LAPF	21,325	39,423	85%	28,438	29,432	3%	9,522	16,316	71%	1,633	1,718	5%	8%	4%	-4%	6%	6%	-
MIPF	24,101	34,880	45%	32,786	32,698	0%	27,582	8,685	-69%	2,778	2,733	-2%	12%	8%	-4%	8%	8%	-
NRZ	2,603	2,469	-5%	14,366	13,426	-7%	14,268	13,349	-6%	1,568	1,558	-1%	60%	63%	3%	11%	12%	1%
ZB FHGPF	2,994	1,676	-44%	3,006	1,958	-35%	400	957	139%	163	158	-3%	5%	9%	4%	5%	8%	3%
ZMDC	143	203	42%	330	589	78%	131	143	9%	28	49	75%	20%	24%	4%	8%	8%	-
Zimbabwe Electricity I	5,810	9,398	62%	6,232	6,429	3%	302	372	23%	401	356	-11%	7%	4%	-3%	6%	6%	-
ZESA P/F	0	0	0%	*	0	0%	*	0	0%	*	0	0%	0%	0%	-	0%	0%	-
GMB	1,596	2,734	71%	2,025	2,128	5%	35	182	420%	486	457	-6%	30%	17%	-13%	24%	21%	-3%
Zimpapers	766	0	-100%	1,051	0	-100%	403		-100%	334	0	-100%	44%	0%	-	32%	0%	-
Motor Ind	3,321	6,542	97%	4,998	4,462	-11%	2,389	2,744	15%	895	941	5%	27%	14%	-13%	18%	21%	3%
Unified Councils P/F	0	2,399	0%	*	1,644	0%	*	262	0%	*	1,136	0%	0%	47%	-	0%	69%	-
SBM	2	3	50%	3	3	0%	0	0	0%	0	0	0%	0%	0%	-	0%	0%	-
Totals	72,854	109,396	50%	111,207	108,902	-2%	64,319	53,592	-17%	13,981	14,022	0%	19%	13%	-6%	13%	13%	-

Figure 3: Income and Expenditure for Standalone Funds for the current year to date ended 30 September 2015(\$000)



7.0 Fund Assets

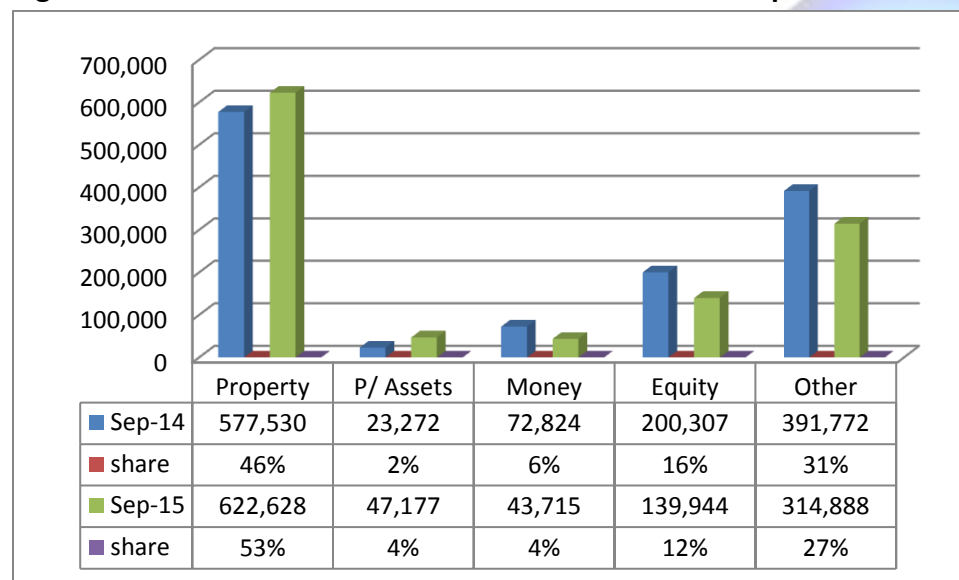
For the period ended 30 September 2015, Standalone funds invested \$623million or 53% in property (September 2014:46% or \$578million),12% or \$140million in capital market securities (September 2014:16% or \$200million),4% or \$44million in money market securities(September 2014:6% or \$73million, }, 27% or \$315million in other securities{September 2014:30% or \$392million, } and 4% or \$47million in prescribed assets(September 2014:2% or 23million)(See Table 5 and Figure 4, below).

Funds are encouraged to adopt investment strategies that match their liabilities and assets, taking into consideration the dates for payment of benefits to members.

Table 5: Fund Assets Market Value per Standalone Fund for the period ended 30 September 2015

Fund Name	Immovable Property(\$000)			Prescribed Assets(\$000)			Money Market Securities(\$000)			Capital Securities(\$000)			Other(\$000)			Total(\$000)		
	Sep-14	Sep-15	Growth	Sep-14	Sep-15	Growth	Sep-14	Sep-15	Growth	Sep-14	Sep-15	Growth	Sep-14	Sep-15	Growth	Sep-14	Sep-15	Growth
Catering IPF	7,731	8,979	16%	74	85	15%	701	39	-94%	4,862	4,840	0%	853	1,376	61%	7,191	15,319	113%
Clothing IPF	11,100	10,845	-2%	250	378	51%	1,199	2,754	130%	4,288	3,183	-26%	1,635	2,371	45%	8,571	19,531	128%
CAIPF	87,021	88,654	2%	4,062	9,610	137%	6,204	4,070	-34%	23,457	11,681	-50%	34,566	47,524	37%	74,493	161,539	117%
CIPF	11,886	17,196	45%	213	492	131%	0	0	0%	6,311	7,851	24%	4,776	1,994	-58%	11,300	27,533	144%
LAPF	82,165	82,165	0%	0	0	0%	0	0	0%	38,116	29,102	-24%	125,948	149,836	0%	164,064	111,267	-32%
MIPF	102,096	102,336	0%	10,667	11,053	4%	3,691	6,338	72%	65,035	43,732	-33%	1,448	7,764	436%	84,532	171,223	103%
NRZ	236,101	227,641	-4%	1,895	5,442	187%	15,857	6,484	-59%	17,014	13,326	-22%	168,833	174,733	3%	219,456	427,626	95%
ZB FHGP	12,071	4,877	-60%	1,763	6,068	244%	32,668	6,557	-80%	20,180	5,254	-74%	-	0	0%	87,279	22,756	-74%
ZMDC	1,574	1,561	-1%	0	100	0%	644	524	-19%	0	0	0%	2,880	3,926	36%	4,168	6,111	47%
Zimbabwe Electricity I	26,014	32,092	23%	2,082	7,564	263%	6,360	9,800	54%	4,776	3,973	-17%	38,203	49,302	29%	57,781	102,731	78%
ZESA P/F	*	23,360	0%	*	1,000	0%	*	1,320	0%	*	4,173	0%	*	5,534	0%	0	35,387	0%
GMB	9,478	6,373	-33%	0	322	0%	472	5	-99%	1	20	1900%	3,798	6,314	66%	4,743	13,034	175%
Zimpapers	2,297	*	0%	13	*	0%	5	*	0%	1,167	*	0%	4,912	*	0%	6,102	0	-100%
Motor Ind	8,410	8,805	5%	2,253	4,965	120%	5,023	5,550	10%	15,092	12,792	-15%	3,669	3,757	2%	31,060	35,869	15%
Pentact P/F	0	*	0%	0	*	0%	0	*	0%	8	*	0%	251	*	0%	259	0	-100%
Unified Councils	*	7,744	0%	*	96	0%	*	260	0%	*	9	0%	*	10,293	0%	0	18,402	0%
SBM	*	-	4%	*	2	103%	0	14	-40%	0	8	-30%	0	0	-20%	24	24	0%
Totals	597,944	622,628	16%	23,272	47,177	15%	72,824	43,715	-94%	200,307	139,944	0%	391,772	314,888	61%	1,286,119	1,168,352	-9%

Figure 4: Fund Asset Values for Standalone Funds for the period ended 30 September 2015(\$000)





SECTION B:

INSURER ADMINISTERED FUNDS

1.0 Insurer Self-Administered Pension Funds

This report covers 32 funds administered by four insurers (See Table 1, below).

Table 1: Fund Administrators

Insurer	September 2015
First Mutual	5
Old Mutual	25
Zimnat	2
TOTALS	32

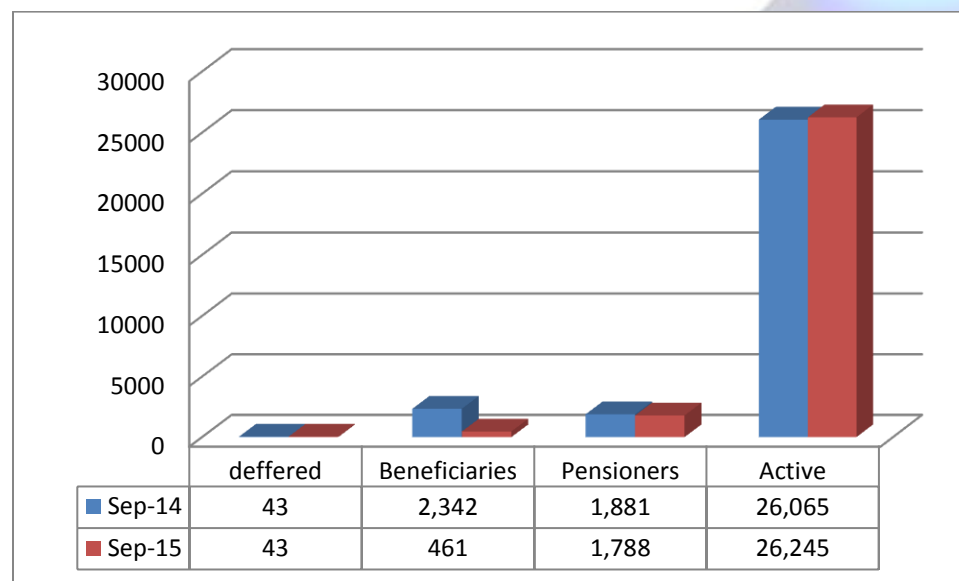
2.0 Pension Fund Membership

Total fund membership for insurer administered funds was 29,000 shared between 26,000 actives (89%), pensioners-1788 (6%) and the balance being beneficiaries and deferred members. This membership could be an indicator that several members opt for late retirement and /or bounce back from retirement to avoid low benefits given a much higher poverty datum line (See Table 2 and Figure 1, below).

Table2: Membership for Insured Self-Administered Pension Funds for the period ended 30 September 2015

Insurer	Active members			Deferred Pensioners			Former members/Pensioners			Widows & Others			Exits			Total Membership		
	Sep-14	Sep-15	Growth	Sep-14	Sep-15	Growth	Sep-14	Sep-15	Growth	Sep-14	Sep-15	Growth	Sept 2014	Sept 2014	Growth	Sep-14	Sep-15	Growth
First Mutual	3,704	4,446	20%	0	0	-	0	0	-	0	0	-	-133	-257	93%	3,704	4,446	20%
Old Mutual	22,143	21,581	-3%	43	43	0%	1,881	1,788	-5%	2,342	461	-80%	-707	-968	37%	26,409	23,873	-10%
Zimnat	218	218	0%	-	0	-	-	0	-	0	0	-	0	0	-	218	218	0%
Totals	26,065	26,245	1%	43	43	0%	1,881	1,788	-5%	2,342	461	-80%	-840	-1225	46%	30,331	28,537	-6%

Figure 1: Membership Statistics for Insured Self-Administered Funds for the year to date ended 30 September 2015



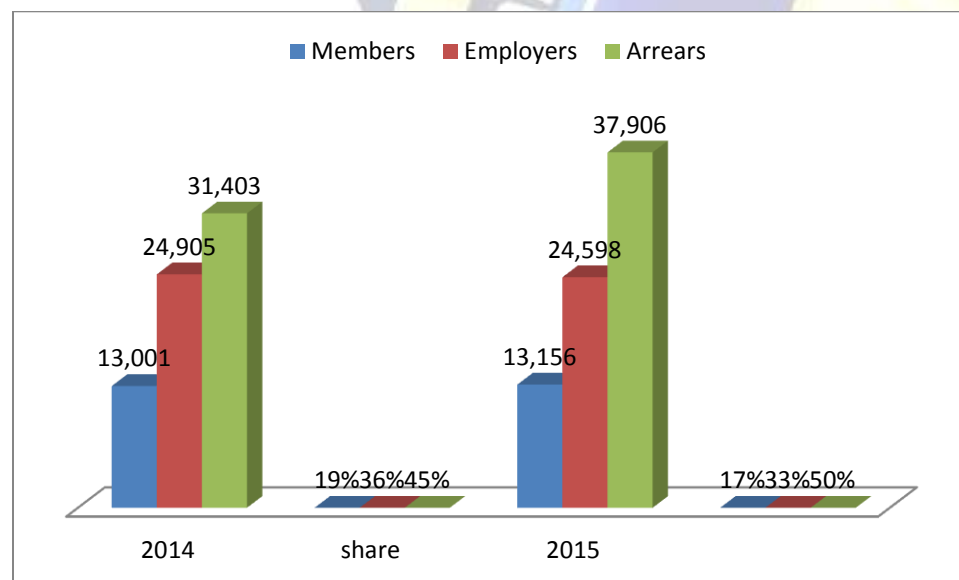
3.0 Contributions

Employee contributions were 17% or \$13million,(September 2014:\$13million or 19%) whilst sponsoring employers paid \$25million or 33%(September 2014: \$25million or 36%)whilst 50% or \$38million were in arrears(September 2014:\$31million or 45%) .We continue to remind players to honour their obligations given that contribution arrears should be paid. (See Table 3 and Figure 2below).

Table 3: Contributions Statistics for Insured Self-Administered Funds for period ended 30 September 2015

Insurer	Contributions \$(000)						Arrear Contributions \$(000)						Total Contributions \$(000)		
	Members			Employers			Members			Employers					
	Sep-14	Sep-15	Growth	Sept 2014	Sept 2015	Growth	Sep-14	Sep-15	Growth	Sep-14	Sep-15	Growth	Sep-14	Sep-15	Growth
First Mutual	4,754	4,958	4%	6,787	7,105	5%	0	0	-	21,433	28,655	34%	32,974	40,718	23%
Old Mutual	8,032	7,994	0%	17,771	17,218	-3%	0	0	-	9,942	9,223	-7%	35,745	34,435	-4%
Zimnat	215	204	-5%	347	275	-21%	-	0	-	28	28	0%	590	507	-14%
Totals	13,001	13,156	1%	24,905	24,598	-1%	0	0	-	31,403	37,906	21%	69,309	75,660	9%

Figure 2: Contribution Statistics for Insured Self-Administered Funds for the period ended 30 September 2015\$(000)



4.0 Income and Expenditure

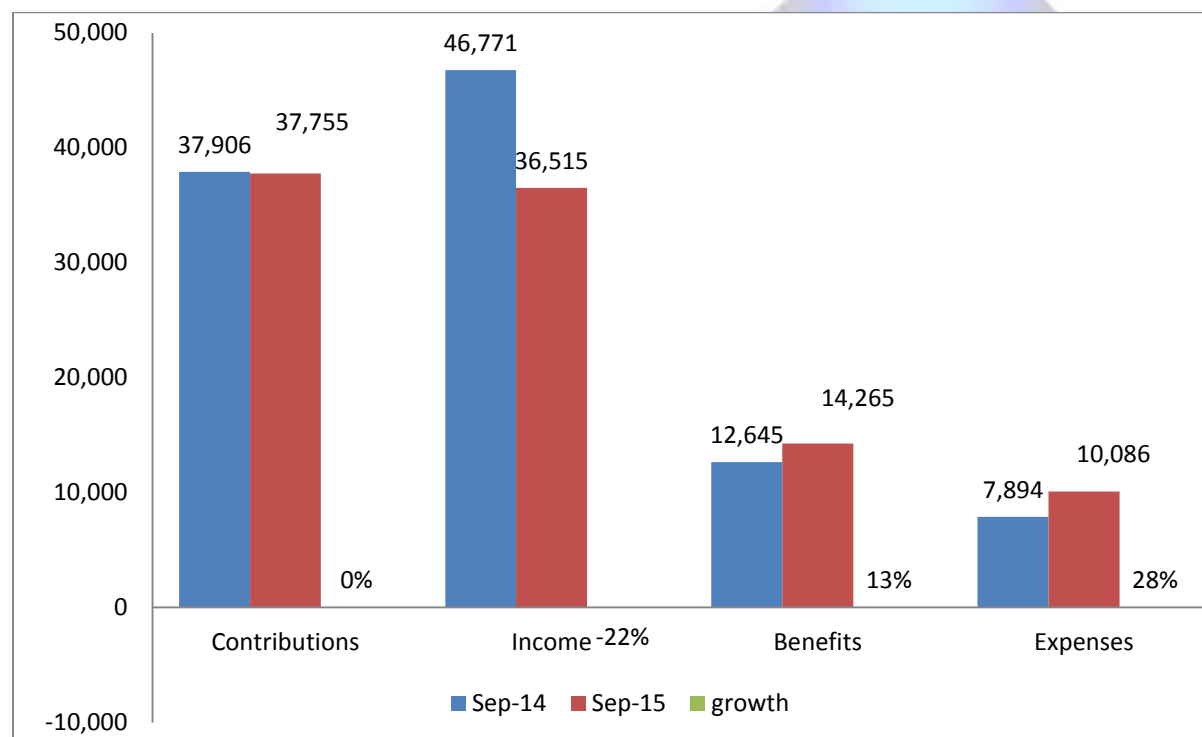
As highlighted above, insurers received \$38million in contributions .Due to investment losses, total income decreased by 22% from \$46million whilst expenditure grew by 27% to \$10 million from \$7million in the same period last year.

Resultantly the expenses to contributions and expenses to income ratios were 27% and 28% respectively. In line with discussions elsewhere regarding expense ratios, the Commission is seeking ways and means to ensure that such expenses conform to best practice. The present average expense ratio is not sustainable given low investments returns prevailing in the economy (See Table 4 and Figure 3 below).

Table 4: Income and Expenditure per Insurer for Self-Administered Funds for the period ended 30 September2015

Insurer	Total Contributions(Excl arrears)\$(000)			Total Income \$(000)			Total Paid Benefits \$(000)			Expenses \$(000)			(Expenses/Contributions)%			(Expenses/Total Income)%		
	Sep-14	Sep-15	Growth	Sep-14	Sep-15	Growth	Sep-14	Sep-15	Growth	Sep-14	Sep-15	Growth	Sep-14	Sep-15	Growth	Sep-14	Sep-15	Growth
First Mutual	11,541	12,064	5%	12,251	12,199	0%	3,258	3,095	-5%	3,231	4,671	45%	28%	39%	11%	26%	38%	12%
Old Mutual	25,803	25,212	-2%	33,617	23,528	-30%	9,205	10,841	18%	4,301	5,111	19%	17%	20%	-3%	13%	22%	9%
Zimnat	562	479	-15%	903	788	-13%	183	329	80%	362	304	-16%	64%	63%	-1%	40%	39%	-1%
Totals	37,906	37,755	0%	46,771	36,515	-22%	12,646	14,265	13%	7,894	10,086	28%	21%	27%	6%	17%	28%	11%

Figure 3: Income and Expenditure for Insured Self-Administered Funds for the period ended 30 September 2015(\$000)



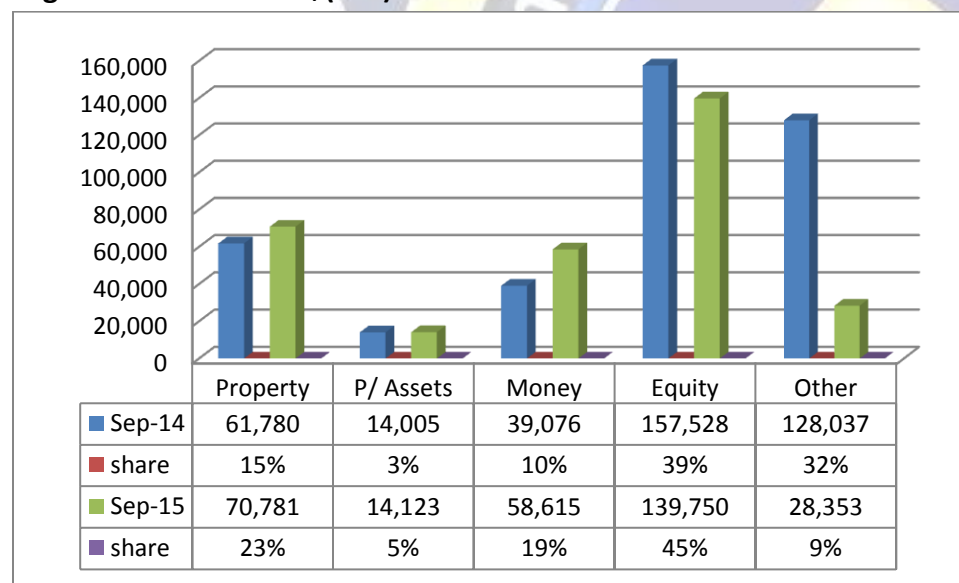
5.0 Fund Assets

For the year to date ended 30 September 2015, insurer administered funds invested \$71million or 23% in properties[September 2014:\$62million or 15%], 45% or \$140million in capital market securities[September 2014:39% or \$159million],19% or \$59million in money market securities[September 2014:10% or \$40million],9% or \$28million in other securities and 4% or \$14million in prescribed assets [September 2014 :% or \$4million].The Commission expects such encouraging growth in fund assets to impact positively on member values and benefits(See Table 5 and Figure 4, below)

Table 5: Fund Asset Statistics at Market Value for Insured Self-Administered Funds as at 30 September 2015

Fund Name	Immovable Property\$(000)			Prescribed Assets\$(000)			Money Securities\$(000)			Capital Securities\$(000)			Other\$(000)			Total\$(000)		
	Sep-14	Sep-15	Growth	Sep-14	Sep-15	Growth	Sep-14	Sep-15	Growth	Sep-14	Sep-15	Growth	Sep-14	Sep-15	Growth	Sep-14	Sep-15	Growth
First Mutual	8,506	13,187	55%	588	523	-11%	1,997	4,670	134%	25,743	21,415	-17%	21,445	15,468	-28%	58,279	55,263	-5%
Old Mutual	53,007	57,594	9%	13,156	13,336	1%	36,177	52,898	46%	129,586	116,278	-10%	106,467	12,662	-88%	338,393	252,768	-25%
Zimnat	267	0	-100%	261	264	1%	902	1,047	16%	2,199	2,057	-6%	125	223	78%	3,754	3,591	-4%
Totals	61,780	70,781	15%	14,005	14,123	1%	39,076	58,615	50%	157,528	139,750	-11%	128,037	28,353	-78%	400,426	311,622	-22%

Figure 4: Fund Assets \$(000)





SECTION C:

FUND ADMINISTRATORS

1.0 Fund Administrators

This report is based on 130 funds (See Table 1, below).

Table 1: Fund Administrators

Fund Administrator	September 2015
Minerva Benefits Consulting	59
Comarton Consultants	30
Marsh	45
Zimbabwe Insurance Brokers	4
TOTALS	138

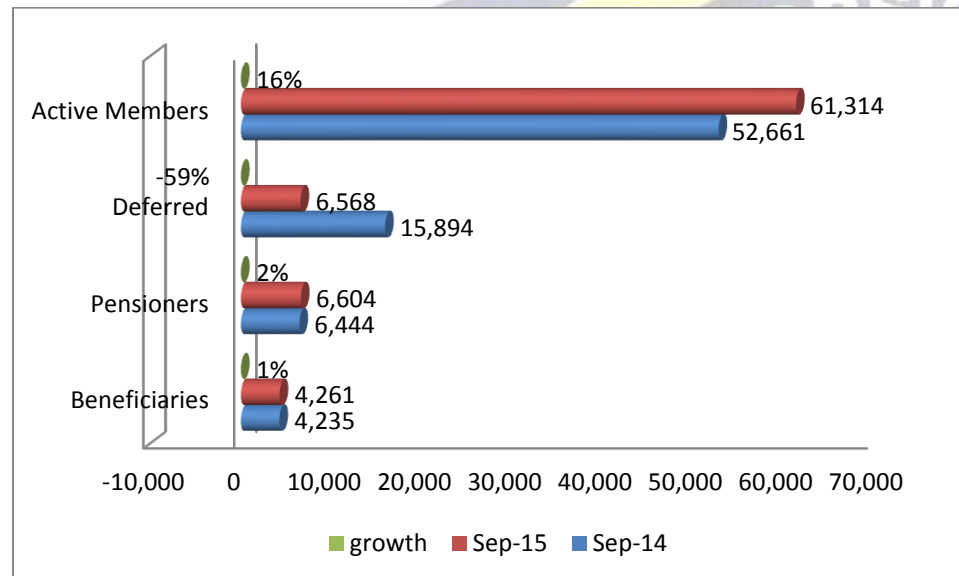
2.0 Pension Fund Membership

Fund membership was composed of 78,742 made up of 61,314 actives (78%), deferred pensioners 6,568 (8%) this was a huge reduction from 15,894 :(20%) in the year 2015. This could mean that a large portion of those who were deferred pensioners have reached retirement age , Pensioners were 6,604 (8%) (2014: 6,444(8%)) and the balance of 4,261 or 5% were beneficiaries. (See Table 2 and figure 1 below).

Table2: Membership for Self-Administered Funds for the period ended 30 September 2015

Administrator	Active members			Deferred Pensioners			Former members/Pensioners			Widows & Others			Exits			Total Membership		
	Sep-14	Sep-15	Growth	Sep-14	Sep-15	Growth	Sep-14	Sep-15	Growth	Sep-14	Sep-15	Growth	Sep-14	Sep-15	Growth	Sep-14	Sep-15	Growth
Minerva	22,328	32,650	46%	10,673	464	-96%	1,648	1,446	-12%	1,007	918	-9%	-1,892	-1,452	-23%	35,656	35,478	0%
Comarton	14,330	14,459	1%	510	521	2%	2,147	2,147	0%	1,693	1,782	5%	-264	-359	36%	18,680	18,904	1%
Marsh	16,003	13,999	-13%	4,711	5,583	19%	2,649	3,005	13%	1,535	1,556	1%	-223	-264	18%	24,898	24,143	-3%
ZIB	0	206	-	0	0	-	0	6	-	0	5	-	0	5	-	0	217	-
Totals	52,661	61,314	16%	15,894	6,568	-59%	6,444	6,604	2%	4,235	4,261	1%	-2,379	-2,070	-13%	79,234	78,742	-1%

Figure 1: Membership for the period ended 30 September 2015



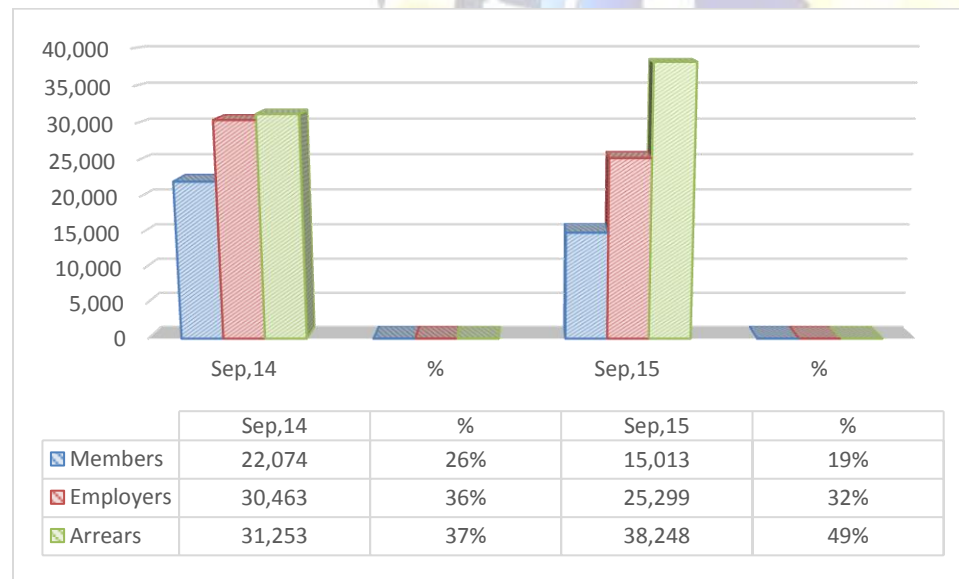
3.0 Contributions

For the period ended 30 September 2015, total contributions realized by fund administrators were \$79million. Employee contributions were \$15million or 19% [September 2014:\$22million 26%], and employers paid \$25million or 32% [September 2014:\$31million or 37%]. However, \$38million or 49% was in arrears [September 2014:\$31million or 37%]. The Commission continues to engage the industry in order to recover these debts in various ways with some employers opting to cede property in lieu of arrear contributions as well as submitting payment plans to IPEC (See Table 3 and Figure 2 below).

Table 3: Contributions Statistics for Self-Administered Funds for the period ended 30 September 2015

Fund Name	Contributions \$(000)						Arrear Contributions \$(000)						Total Contributions \$(000)		
	Members			Employers			Members			Employers					
	Sep-14	Sep-15	Growth	Sept 2014	Sept 2015	Growth	Sep-14	Sep-15	Growth	Sep-14	Sep-15	Growth	Sep-14	Sep-15	Growth
Minerva	10,438	7,559	-28%	16,983	12,860	-24%	3,508	6,187	76%	4,651	3,065	-34%	35,580	29,671	-17%
Comarton	2,017	1,830	-9%	3,435	4,049	18%	724	444	-39%	12,853	18,170	41%	19,029	24,493	29%
Marsh	9,619	5,607	-42%	10,045	8,293	-17%	0	0	0%	9,517	9,855	4%	29,181	23,755	-19%
ZIB	*	17	0%	*	97	0%	*	29	0%	*	498	0%	*	641	-
Total	22,074	15,013	-32%	30,463	25,299	-17%	4,232	6,660	57%	27,021	31,588	17%	83,790	78,560	-7%

Figure 2: Contributions \$(000)



4.0 Income and Expenditure

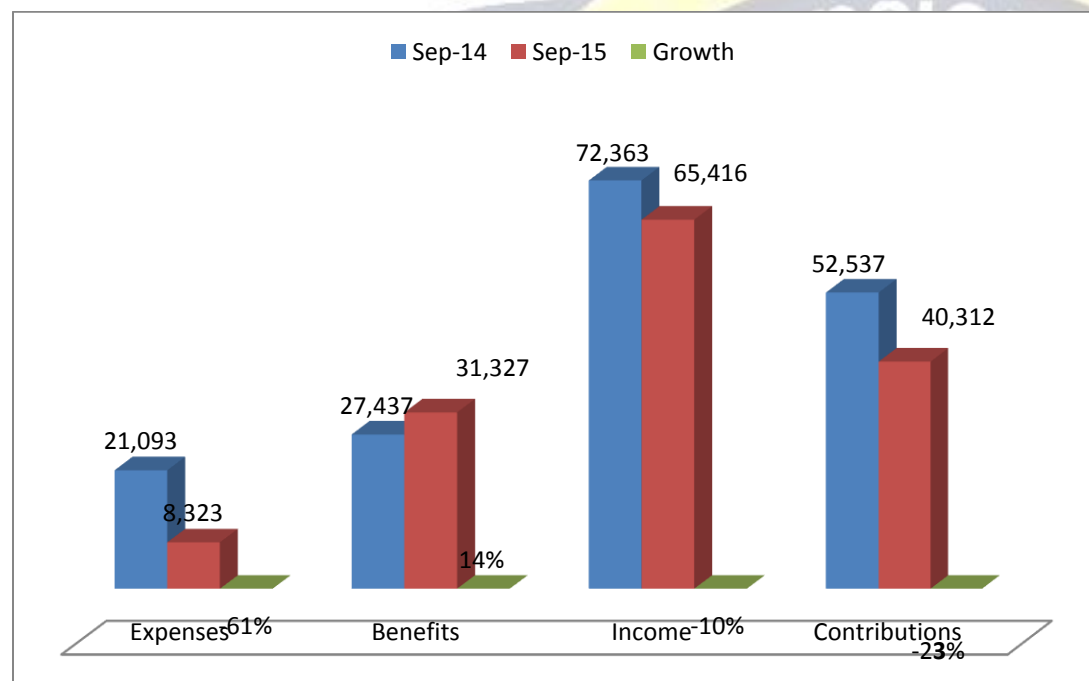
For the year under review, fund administrators collected \$40million in contributions which saw a sharp decline of 23% from the same period last year (2014:\$53million). Total income also declined by a margin of 10% from \$72million in the same period in 2014 to \$65million September 2015.

The expenses- to- contributions and expenses- to- income ratios were 21% a decline from 40% last period and 13% from 29% in 2014 respectively. The targeted expense ratios are 10% in an effort to safeguard member values and pensions (See Table 4 and Figure 3 below).

Table 4: Income and Expenditure for Self-Administered Funds for the period ended 30 September 2015

Fund Name	Total Contributions(Excl arrears)			Total Income \$(000)			Total Paid Benefits \$(000)			Expenses \$(000)			(Expenses/Contributions)%			(Expenses/Total Income)%		
	Sep-14	Sep-15	Growth	Sep-14	Sep-15	Growth	Sep-14	Sep-15	Growth	Sep-14	Sep-15	Growth	Sep-14	Sep-15	Growth	Sep-14	Sep-15	Growth
Minerva	27,421	20,419	-26%	30,142	33,856	12%	11,825	16,732	41%	10,456	5,378	-49%	38%	26%	12%	35%	16%	-19%
Comarton	5,452	5,879	8%	14,234	9,603	-33%	3,297	3,559	8%	3,524	1,330	-62%	65%	23%	-42%	25%	14%	-9%
Marsh	19,664	13,900	-29%	27,987	21,839	-22%	12,315	11,019	-11%	7,113	1,585	-78%	36%	11%	25%	25%	7%	-17%
ZIB	*	114	0%	*	118	0%	*	17	-	*	30	0%	*	26%	-	*	25%	-
Totals	52,537	40,312	-23%	72,363	65,416	-10%	27,437	31,327	14%	21,093	8,323	-61%	40%	21%	-19%	29%	13%	-16%

Figure 3: Income and Expenditure \$(000)



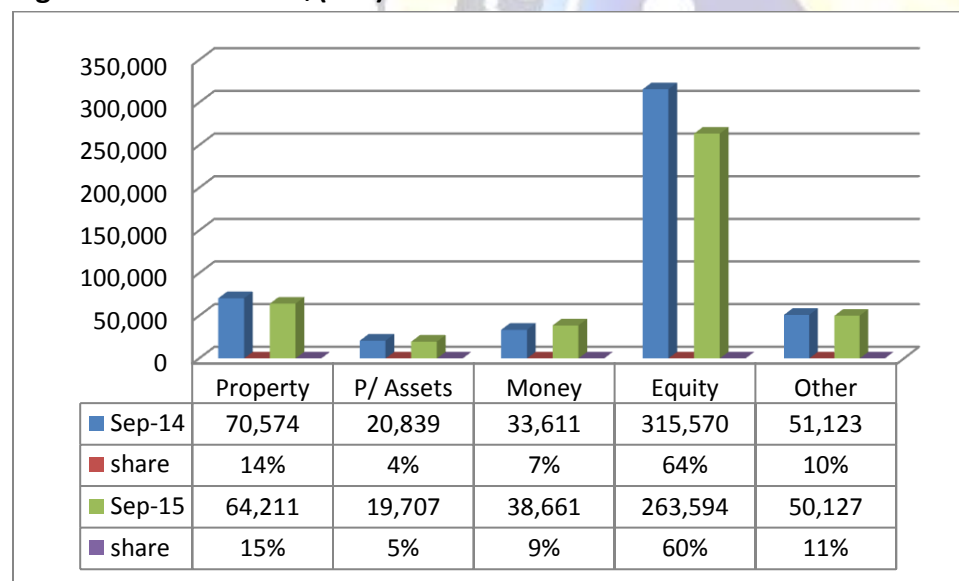
5.0 Fund Assets

As at the year ended 30 September 2015, fund administrators invested \$64million or 15% in properties [September 2014: \$71million or 14%], 60% or \$264million in capital market securities [September 2014: 64% or 316million], 9% or \$39million (2014: 7% or \$34million) in money market, other assets \$50million or 11% and the rest were in prescribed assets which constituted \$20 million or 5%.

Table 5: Fund Assets Statistics at Market Value for Pension Funds Administered by Fund Administrators

Fund Name	Immovable Property \$(000)			Prescribed Assets \$(000)			Money Market Securities \$(000)			Capital Market Securities \$(000)			Other \$(000)			Total \$(000)		
	Sep-14	Sep-15	Growth	Sep-14	Sep-15	Growth	Sep-14	Sep-15	Growth	Sep-14	Sep-15	Growth	Sep-14	Sep-15	Growth	Sept 2014	Sept 2015	Growth
Minerva B	24,101	18,392	-24%	6,158	505	-92%	0	0	-	161,897	131,336	-19%	29,968	25,438	-15%	222,124	175,671	-21%
Comarton	-	0	-	4,503	6,681	48%	15,913	21,152	33%	65,355	63,552	-3%	-	0	-	85,771	91,385	7%
Marsh	46,473	45,819	-1%	10,178	12,512	23%	17,698	17,407	-2%	88,318	68,456	-22%	21,155	24,190	14%	183,822	168,384	-8%
ZIB	*	0	-	*	9	-	*	102	-	*	250	-	*	499	-	*	860	-
Totals	70,574	64,211	-9%	20,839	19,707	-5%	33,611	38,661	15%	315,570	263,594	-16%	51,123	50,127	-2%	491,717	436,300	-11%

Figure 4: Fund Assets \$(000)



8.0 Circulars and Statutory Instruments

For the period under review the Commission issued the following circulars and statutory instruments to guide the industry on various issues affecting its operations.

The following table summarizes circulars that were issued:-

Details	Subject Matter	Issue Date
Circular No. 3. Of 2015	Risk Survey : Feedback on Results	10 September 2015
Circular No. 2. Of 2015	JOINT PAAB- IPEC New Auditors Report Programme: Half Day Seminar at Cresta Lodge: 13 August 2015	28 July 2015

Table 9: List of Approved Prescribed Asset Paper

Issuer	Application Year	Purpose of Issue	Bond Amnt and coupon rate	Amount raised	Uptake Ratio	Repayments to date	Current status
Agricultural Marketing Authority (AMA Bills)	2014	Finance the 2014/2015 Agricultural Season	\$105million (First trench \$55million and second trench of \$50million). Coupon rate	\$58,9million (First trench \$53.6m and Second trench \$5.008m)	56% (First trench 97% and second trench 10.6%)	\$58,608,330.08 has been repaid representing capital repayment and coupon payment of the first trench. (Repayments for the second trench are due on the 4 th of September when the Bills mature)	Closed
ZB Bank-Agrobills	2014	Finance the 2014/2015 Agricultural season	\$10million	\$10million	100%	Bills yet to mature	Closed
Fidelity Life	2014	Finance servicing of the South view High density stands	\$10million	12million	120%		Closed
Agribank and FBC- (AgroBills)	2014	Finance the 2014/2015 agricultural season	\$15million	15million	100%		Closed
Afreximbank	2015		\$100million	Approved on 08 Jan 2015. No update on amount raised and uptake ratios		NO UPDATE	NO UPDATE
Old Mutual		Finance Budiriro Housing Project	\$62.8million at a coupon rate... and tenure of 10 years			NO UPDATE	NO UPDATE
IDBZ	2014	provide bridging finance to implementing agencies	\$10million	\$10million (NSSA being the only investor)	100%		Closed

		of Government infrastructure projects					
Bindura Nickel Corporation	2014	Resuscitate the Nickel Smelter and beneficiation of Nickel	\$20million	\$20million	100%		Closed
ZETDC	2014	To support the energy sector	\$15million at 8%	\$14.02million	93%		
ZPC KSPS	2014	To support the energy sector	\$50million at 8%	No update on the uptake of the bond			Open
RioChrome	2015	Resuscitate the Smelter and Beneficiation of Chrome Ore	\$12million at a coupon rate of	Application still under evaluation			
Sable Chemicals	2015	To support the agricultural Sector	\$10million at a coupon rate of 10%p.a	Application still under evaluation			
Agribank and FBC	2015	Support the 2015/2016 agricultural season	\$10million at a coupon rate of 10%p.a	Initial application of US\$10million approved on the 09 th of September 2015. Second application of \$10million approved on the 06 November 2015. The total amount is now \$20million			Open

CONCLUSION

Self-administered funds continue to show signs of stress mainly via investment losses especially in the capital markets, arrear contributions, contracting demand etcetera. The Commission continues to monitor and regulate the industry through legal and administrative measures taking cognizance of the challenging operating environment.

